CONSUMPTION FUNCTION

The **consumption function** is an economic formula that represents the relationship between **total consumption** and **total disposable income** in an economy. It helps explain how households decide to spend their income.

Basic Consumption Function

$$C=a+bY$$

Where

- C = total consumption
- a = autonomous consumption (consumption when income is zero)
- b = marginal propensity to consume (MPC), or the fraction of additional income that is consumed
- Y = disposable income

Key Concepts

- **Autonomous Consumption**- This is the minimum level of consumption that would occur even if income were zero, often financed through savings or borrowing.
- **Marginal Propensity to Consume (MPC)**- This is the slope of the consumption function. If b=0.8b = 0.8b=0.8, it means that for every extra dollar of income, 80 cents are spent on consumption.
- **Disposable Income**- Income after taxes; the amount available to households for spending or saving.

Example

Suppose

- a=200
- b=0.75
- Y=1,000

Then-

C=200+0.75×1000 =950

CLASS ILLUSTRATION

Assuming that in a Kenya the total disposable in come is Ksh. 65 Billion and the marginal propensity to consume is 0.3 and the autonomous consumption is sh. 500 Million. Calculate the total consumption and the average propensity to consume.

Total Consumption (CCC)

The consumption function is-

$$C=a+bY$$

Substitute the values-

$$C=500+(0.3\times65,000) = \text{Ksh.}20,000 \text{ million}$$

2. Average Propensity to Consume (APC)

$$APC=YC\ /APC$$

$$=20,000/65,000$$

$$=0.3077or30.77\%$$

The Paradox of Thrift and Its Implications in a Recessionary Economy

The Paradox of Thrift is a concept introduced by John Maynard Keynes, which states that while saving is generally good for an individual, if everyone in the economy increases their savings at the same time, it can lead to a decrease in overall economic output and income.

Explanation

- In a recessionary period, people become uncertain about the future and tend to **save more** and **spend less**.
- Since **one person's spending is another person's income**, a collective reduction in consumption leads to a **fall in aggregate demand**.
- This causes businesses to earn less, leading them to cut back on production and lay off workers, which further reduces income and spending.
- As a result, **total savings may not actually increase** despite the higher individual attempts to save — hence the paradox- **more saving leads to less overall saving** because incomes fall.

Implications in a Recessionary Economy-

1. **Falling Aggregate Demand**
   Increased saving reduces consumer spending, which is a major component of aggregate demand. Lower demand deepens the recession.
2. **Decreased National Income and Output**
   As spending falls, firms reduce output, leading to a decline in GDP and national income.
3. **Higher Unemployment**
   Reduced business activity leads to job losses, which further reduces consumption and savings in a vicious cycle.
4. **Worsening of the Recession**
   The initial intent to save more leads to negative economic outcomes, making the recession worse.

5. **Policy Implication**
   To counter the paradox, **government intervention** (e.g., through increased public spending or tax cuts) may be needed to stimulate demand and restore economic equilibrium.

Conclusion

The Paradox of Thrift highlights a critical insight of Keynesian economics- **what is rational for an individual may not be beneficial for the economy as a whole** during a downturn. It underscores the importance of aggregate demand management in macroeconomic policy.